

2023

Bachelor in Business Administration

Course Title: **Financial Accounting**

Code No: **ACC201** Semester: **2nd Semester**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**
e. Total assets turnover ratio (more than 1 time) f. Net profit margin (at least 12%)
g. Return on equity (at least 7%) h. Return on assets (at least 5%) i. Average sales period (45 days or less than 45 days)
j. Account receivable turnover ratio (at least 8 times) k. Comment on the results

Candidates are required to answer the questions in their own words as far as practicable.

Section A

Brief Answer Questions: [10 × 2 = 20]

1. Define NFRS.
2. What is intangible asset?
3. What do you mean matching concept of accounting?
4. Write about accrual basis of accounting.
5. Explain about different types of cheque.
6. The following transaction are given: a. Goods costing Rs 60,000 was sold at 10% profit. b. Rent received Rs 52,000 including advance rent of Rs 4,000
Required: Accounting equation
7. The following particulars are provided to you: Profit for the year Rs 20,000 Loss on revaluation Rs 12,000 Gain from cash flow hedges Rs 28,000 Gain on sale of investment Rs 22,000
Required: Statement of Other Comprehensive Income as per NFRS
8. ABC Company purchased a machine at a cost of Rs 1,000,000 on 1st Baisakh 2077. Installation cost was Rs 50,000. The estimated life of the machine was Rs 5 years with salvage value of Rs 50,000. On 30th Ashwin 2078 machine was sold for Rs 650,000.
Required: Amount of profit or loss from the sales of machine
9. KK Company purchased a car at the cost of Rs 2,020,000 on 1st Shrawan 2077. The estimated life of the car is 100,000 KMs with salvage value of Rs 20,000. During 2077 and 2078, the car was run for 16,000 KM and 24,000 KM respectively.
Required: Depreciation for the year 2077 and 2078
10. The following are the information given to you: > Transportation cost on machine purchased > Servicing charge for bike > White wash of old building > Utilities paid
Required: The revenue and capital items

Section B

Short Answer Questions: (Attempt any SIX Questions) [6 × 5 = 30]

11. "Accounting information is needed for decisions", discuss.

12. Differentiate between accounting and accountancy.
13. What is trail balance? Why it is prepared?
14. Following are the information of assets of a Company: Particulars 2077 2078 Equipment 100,000 150,000 Building 300,000 400,000 Investment 90,000 270,000 Goodwill 60,000 45,000 Cash and bank 70,000 35,000 Stock 50,000 40,000 Account Receivable 30,000 60,000 Required: Comparative (Horizontal) Analysis
15. The bank statement of a company showed a balance of Rs 42,000 on 30th Shrawan 2079. However the company balance showed a different balance of Rs 38,000. On the investigation, the following differences were noticed: > Outstanding cheque Rs 10,000 /? > Deposit in transit Rs 13,000 /? > A customer's cheque of Rs 4,000 was return with the bank statement marked NSF. > Collection of notes receivable for Rs 4,000 and interest on investment Rs 3,000 > Bank charge Rs 2,000 for the service provided by the bank > A cheque of Rs 10,000 was paid by the bank. However, the company recorded Rs 16,000 in its statement. Required: Bank reconciliation statement
16. The following information is provided to you: Sales Rs 800,000 Material consumed Rs 200,000 Carriage Rs 20,000 Office expenses Rs 50,000 Wages and salaries Rs 70,000 Interest paid Rs 20,000 Dividend received Rs 30,000 Depreciation Rs 40,000 Income tax paid Rs 30,000 Required: (a) Value added statement and (b) Net profit for the year
17. Required: a. Profit and loss statement for the year ending 31st December 2022 as per NFRS. b. Statement of financial position as on 31st December 2022 as per NFRS.

Section C

Long Answer Questions: (Attempt any THREE Questions) [3 × 10 = 30]

18. The SS Company's Statement of Profit and Loss account and Statement of Financial Position for two years have been given below:
- Statement of Profit and Loss for the year 2022
- | Particulars | Amount (Rs.) |
|--|--------------|
| Revenue from operation | 1,000,000 |
| Less: Cost of sales | (650,000) |
| Gross margin | 350,000 |
| Add Other income (including dividend received Rs 21,000) | 50,000 |
| Total | 400,000 |
| Less: Distribution expenses | (80,000) |
| Less: Administrative expenses (including depreciation of Rs 75,000 and bad debts of Rs 10,000) | (225,000) |
| Operating Profit | 95,000 |
| Less: Finance cost | (20,000) |
| Net profit before tax | 75,000 |
| Less: Provision for tax | (18,750) |
| Net profit after tax | 56,250 |
| Less: Dividend paid | (10,000) |
| Retained Earnings | 46,250 |
- Statement of Financial Position of a company for 2021 and 2022
- | Assets | 2021 | 2022 | Non-Current Assets | Property, plant and equipment | Goodwill | Investments | Total | Non-Current Assets | Current Assets | Inventories/Stock | Cash and cash equivalents | Total | Current Assets | Fictitious Assets | Total Assets (Total Non-current and Current Assets) | Equity: Share capital @ Rs 100 each | Reserve/Retained earnings | Non-controlling interests | Total Equity | Liabilities | Non-Current Liabilities | Loans and borrowings | Total Non-Current Liabilities | Current Liabilities | Trade and other payable | Income tax liabilities | Provisions | Total Current-Liabilities | Total Liabilities (Total Non-current and Current) | Equity and Total Liabilities |
|--------|---------|---------|--------------------|-------------------------------|----------|-------------|--------|--------------------|----------------|-------------------|---------------------------|---------|----------------|-------------------|---|-------------------------------------|---------------------------|---------------------------|--------------|-------------|-------------------------|-------------------------|-------------------------------|---------------------|-------------------------|------------------------|------------|---------------------------|---|------------------------------|
| Assets | 600,000 | 750,000 | Current Assets | 400,000 | 500,000 | 30,000 | 40,000 | 500,000 | 50,000 | 60,000 | 70,000 | 600,000 | 770,000 | 220,000 | 770,000 | 970,000 | 400,000 | 500,000 | 96,250 | 596,250 | Liabilities | Non-Current Liabilities | 100,000 | 200,000 | 180,000 | 155,000 | 18,750 | 40,000 | 320,000 | 770,000 |
- Required: Statement of Cash Flow under NFRS

Section D

Comprehensive Answer/ Case / Situation Analysis Questions: [20]

19. The GG Company's Statement of Profit and Loss account and Statement of Financial Position for two years have been given below:

Statement of Profit and Loss for the year 2022

Particulars	Amount (Rs)
Revenue from operation (including credit sales of Rs 650,000)	1,200,000
Less: Cost of sales	(700,000)
Gross margin	500,000
Add Other income	70,000
Total	570,000
Less: Distribution expenses	(160,000)
Less: Administrative expenses	(220,000)
Operating Profit	190,200
Less: Finance cost	(30,000)
Net profit before tax	160,000
Less: Provision for tax	(40,000)
Net profit after tax	120,000

Statement of Financial Position of a company for 2021 and 2022

Assets	2021	2022	Assets	2021	2022
Non-Current Assets:			Property, plant and equipment	500,000	600,000
			Intangible Assets	80,000	40,000
			Investments	70,000	100,000
Total Non-Current Assets	600,000	740,000	Current Assets:		
			Inventories/Stock	40,000	
			Cash and cash equivalents	30,000	50,000
			Account receivables	40,000	70,000
			Trade and Other receivables	60,000	30,000
Total Current Assets	170,000	190,000	Fictitious Assets		
Total Assets (Total Non-current and Current Assets)	770,000	930,000	Equity:		
			Share capital @Rs 100 each	400,000	450,000
			Reserve/Net Profit	100,000	220,000
			Non-controlling interests		
Total Equity	500,000	670,000	Liabilities:		
			Non-Current Liabilities:		
			10% Loans and borrowings	150,000	200,000
Total Non-Current Liabilities	150,000	200,000	Current Liabilities:		
			Trade and other payable	100,000	20,000
			Income tax liabilities	40,000	
			Provisions	20,000	
Total Current-Liabilities	120,000	60,000	Total Liabilities (Total Non-current and Current)	270,000	260,000
Total Equity and Total Liabilities	770,000	930,000			

Required for 2022:

- Current ratio (2:1)
- Acid test ratio (1:1)
- Debt to total capital ratio (less than 40%)
- Stock turnover ratio (at least 8 times)
- Total assets turnover ratio (more than 1 time)
- Net profit margin (at least 12%)
- Return on equity (at least 7%)
- Return on assets (at least 5%)
- Average sales period (45 days or less than 45 days)
- Account receivable turnover ratio (at least 8 times)
- Comment on the results